EARNINGS UPDATE · COMMUNICATION SERVICES

Meta Q3 2026: the ads deliver, the 2027 bill waits

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Meta is not on the Syz focus list. Our long-term stance remains **constructive**. The quarter answered two of our three pre-results questions: revenue and the outlook were strong, and Muse came with usage data. The third, the 2027 investment bill, was left open, while free cash flow turned negative.

Q3 revenue	EPS excl. legal charge	Q4 revenue outlook	Q3 free cash flow
USD 64.6 bn	**USD 7.40**	**USD 73 to 76 bn**	**USD -2.1 bn**
+3% vs. cons., +26% y/y	+13% vs. cons., GAAP USD 3.83	mid-point USD 74.5 bn	capex USD 34.9 bn

Key takeaways

BEAT Revenue above the top of the USD 61 to 64 bn guidance, driven by a 14% rise in the price per ad; a strong Q4 outlook.

BEAT Muse: over 10 million users set up an agent in six weeks (US, Canada), about a quarter use it on any given day, and shopping is the top use case.

WATCH Volumes are slowing: ad impressions +10%, daily active people +3% to 3.64 bn. Growth leans increasingly on pricing.

MISS Capex exceeded operating cash flow, and management gave no 2027 capex figure, only the intention to keep investing aggressively.

1. A clean quarter under the legal charge

Reported EPS of USD 3.83 includes a USD 9.9 bn charge for the settlement with US state attorneys general; excluding it, EPS was USD 7.40, against a USD 6.54 consensus. Full-year expense guidance moved to USD 175 to 179 bn, the previous range plus the charge, and the 2026 capex range was narrowed to USD 135 to 145 bn. Excluding the charge, the operating margin would have been about 35% (Syz calculation), against 40% a year earlier.

2. Muse moves from downloads to usage

Shopping is the top use case, with an average purchase above USD 200, and Meta would take a share of transactions while keeping Muse free for most users. Management says compute, not demand, is the constraint, and targets a more than tenfold gain in compute efficiency next year. Revenue and cost per user are still not disclosed.

3. The cash question is postponed, not solved

Free cash flow was negative at USD -2.1 bn, and cost growth is now driven by infrastructure and third-party AI token costs. Without a 2027 capex figure, the debate moves to the Q4 results in January. Meta also announced a two-for-one stock split through a new non-voting Class C share, whose terms we will review in the filing.

4. First market reaction

The share rose by around 3% to 4% in after-hours trading from a USD 697.43 close, before giving back part of the gain as management flagged rising AI costs. The reaction suggests the market is rewarding the quarter while waiting for the 2027 numbers.

OUR PRE-RESULTS TESTS

TEST	OUTCOME	EVIDENCE
Revenue at or above USD 63 bn, firm Q4 outlook	**Met**	USD 64.6 bn; Q4 outlook USD 73 to 76 bn
Muse metrics beyond downloads	**Largely met**	Daily usage, commerce; no revenue per user yet
2027 capex and expenses in line	**Open**	No 2027 figure; 2026 ex-charge guidance unchanged

What this means for investors

The results reinforce our constructive long-term stance: advertising is funding the AI strategy, and Muse now shows early signs of a business model. This note is not a recommendation to buy the share, which is not on the Syz focus list. The next test is the 2027 investment guidance, expected with the Q4 results, and whether free cash flow returns to positive territory.

Sources: Meta Platforms Q3 2026 results and earnings call (21 October 2026); FactSet (consensus); press reports (after-hours trading, call commentary). Operating margin excluding the charge: Syz calculation. Prices are as of the close on 21 October 2026.

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